

PROPRIETARY AND CONFIDENTIAL



Loan Level Buckets for GNMA Model

August 2017

- The goal of this presentation is to present an algorithm to bucket pool lists for the purpose of running the Cello GNMA prepayment model
- The buckets will be based on the following static loan level collateral characteristics: program type, origination year, maximal original loan balance, reperformers, FHA grandfather and MIP regimes
- We will attempt to minimize the number of buckets by doing the following
 - a) For RHS and PIH we will only aggregate across the maximal original loan balance dimension (LLB, MLB, HLB, 175K, <= 417K, > 417K) and nothing else
 - b) For FHA and VA reperformers, we will also aggregate across the maximal original loan balance dimension only
 - c) For VA non-reperformers, we will aggregate by origination year and maximal original loan balance
 - d) For FHA non-reperformers, we will aggregate by maximal original loan balance and instead of origination year, we will use the following origination month buckets which takes into account of MIP changes and grandfathered collateral: 1) prior to 2007 by year 2) 200801-200906 3) 200907-201011 4) 201012-201106 5) 201107-201206 6) 201207-201306/GF 7) 201307-201502/GF 8) 201503-201512/GF 9) 2016 or later by year/GF
- If a bond has two origination years, then we would expect a maximum of 60 replines under this algorithm and will only grow by at most 18 buckets per additional orig yr.